

Principles of management

Chapter “1”

Introduction

- As how the mind controls the human body and its function similar management controls the various activities in the Organization.
- Management directs the collection of physical equipment's (4 M's in Organization) **Men, Machine, Materials, Money.**
- For efficient and profitable functioning it is necessary factors affecting the organization are put to work in a co-ordinated manner.

Definition

- Management is the art of getting things done through others.
- “ Management is the process of designing and maintaining an environment in which individuals, working together in groups efficiently to accomplish selected aims”

Characteristics of management

- ◉ Universal
- ◉ Dynamic
- ◉ Group of managers
- ◉ Purposeful
- ◉ Goal oriented
- ◉ Integrative Function
- ◉ Social process
- ◉ Multi-faceted discipline
- ◉ Continuous process
- ◉ System of authority
- ◉ Intangible
- ◉ Profession, an art as well as a science

Administration vs Management

ADMINISTRATION VS MANAGEMENT

Basis of Distinction	Administration	Management
Policy and objectives	Determination of objectives & policies	Implementation of Policies
Main Functions	Legislative & determination function	Executive Function
	Planning, Organising staffing	Directing, Motivating, Coordinating Controlling
	Provides a sketch of the enterprise	Provides the entire body
Influence	Influenced mainly by public opinion & other outside force	Influenced mainly by administrative function

Administration vs Management

Level of Executives	Owners/ Board of Directors	MD, GM & Managers
Position	Acts as a principal	Acts as an agency
Knowledge	Requires more admin ability than technical ability	Requires more technical ability than admin ability

Applications of management

1- Management as an art

- A manager applies his knowledge and skills to coordinate the efforts of his people.
- Management seeks to achieve concrete practical results
- Management is creative. It brings out new situation and converts into output
- Effective Management leads to realization of Organizational and other goals.

Applications of management

2- Management as science.

- Systematized body of Knowledge.
- Underlying principles and theories developed through continuous observation, inquiry, experimentation and research.
- Universal truth and applicability.
- Organized body of knowledge can be taught and learnt in class room and outside.
- Management is a social science. It contains all the essentials of science. It is an inexact science

Applications of management

3- Management as a Profession

The essential attribute of a profession is:

- A well-defined and organized body of knowledge
- Learning and Experience
- Entry restricted by qualification
- Recognized national body
- Ethical code of conduct
- Dominance of service motive

Levels of management



Levels of management

1- Top Level Management

(Board of Directors, Manager Director, Owners, Chief Executives)

- To analyze, evaluate and deal with the environmental forces
- To establish overall long term goals and broad policies of the company including the master budget
- To appoint departmental and other key executives
- To represent the company to the outside world
- To coordinate the activities and efforts of different department

Levels of management

2. Middle Level Management

(Sales Executives, Production Executives, Production executives etc.)

- To interpret and explain the policies framed by top management.
- To compile and issue detailed instruction regarding operations.
- To Cooperate among themselves so as to integrate various parts of the division or a department.
- To motivate supervisory personnel to work for organization goals
- To develop and train supervisory and operative personnel.

Levels of management

3- Lower Level Management / Supervisory / Operating
(Superintendents, Branch managers, General Foremen)

- To plan day to day production within the goals lay down by higher authority .
- To assign jobs to workers and to make arrangement for their training and development.
- To supervise and control workers and to maintain personal contact with them.

Managerial functions

Functions	Sub Functions
Planning	Forecasting, decision making, strategy formulation, policy making, programming, scheduling, budgeting, problem-solving, innovation, investigation and research.
Organising	Grouping of Functions, Departmentation, delegation, decentralisation, activity analysis, task allocation
Staffing	Manpower planning, job analysis, Recruitment, Selection, Training, Placement, Compensation, Promotion, appraisal, etc.
Directing	Supervision, Motivation, communication, Leadership, etc
Controlling	Fixation of standard, recording, measurement, reporting corrective action.